

Bharti Hexacom Limited

Company Overview:

Bharti Hexacom Limited provides mobile, fixed-line, and broadband services under the brand Airtel in Rajasthan and the North East telecommunication circles in India, which comprises the states of Arunachal Pradesh, Manipur, Meghalaya, Mizoram, Nagaland and Tripura. The company focuses on acquiring and retaining quality customers, offering digital solutions, and optimizing costs to maintain profitability. The company invest in network expansion, technology, and spectrum. As of 9MFY24, the company has invested Rs 206 bn in digital infrastructure. The company also benefits from the relationship with the promoter Airtel and its digital services.

Key Highlights:

1. Established leadership and Large customer base in the area of operations: The company's revenue market share for the Rajasthan circle was 40.4%, 39.2%, 39.5%, 36.7% and 32.7%, while for the North East circle was 52.7%, 52.4%, 52.5%, 48.5% and 42.0% during the 9MFY24, 9MFY23, FY23, FY22 and FY21, respectively. The company is the number one position in the North East circle during the 9MFY24, FY23 and FY22. In the Rajasthan circle, the market share gap between the company and the market leader has narrowed between FY21 - 9MFY24 and now stood at the second position during 9MFY24. As of 9MFY24, the company has presence in 486 census towns and has an aggregate of 2.7 cr customers across both circles. The customer market share has grown consistently in Rajasthan from 33.1% to 35.0% from FY21 to 9MFY24 and in the North East from 43.6% to 49.8% between the same period. The customer base included 19.14 mn data customers, of which 18.83 mn were 4G and 5G customers, and data consumption per customer per month stood at approximately 23.1 GB during 9MFY24.

2. Robust infrastructure network: The company relies on a robust network infrastructure with 24,874 network towers, of which 5,092 are owned and 19,782 are leased. The company a spectrum portfolio with mid-band spectrum (1800/2100/2300 MHz bands) enabling 5G Plus services on the widely chosen non-standalone network architecture and at a low cost of ownership, resulting in significant capital savings. During the 9MFY24, 9MFY23, FY23, FY22 and FY21 capital expenditure was Rs 1,600.3 cr, Rs 2,557.7 cr, Rs 3,051.8 cr, Rs 874.5 cr and Rs 1,576.7 cr, or 30.7%, 52.8%, 46.4%, 16.2% and 34.3% of the revenue from operations, respectively.

3. Extensive Distribution and Service Network: The company has an extensive distribution and service network across the regions the company operates in. During 9MFY24, FY23, FY22 and FY21 the company has set up 51 retail outlets and 24 small format stores to reach 90 cities, as of Dec'23. As of 9MFY24, the distribution network comprised 616 distributors and 89,454 retail touchpoints.

Valuation: The company is valued at FY23 P/E and EV/EBITDA multiple of 51.9x and 12.5x at the upper price band on post-issue capital respectively. The company's topline has grown at a CAGR of 20% from FY21 – FY23. Wireless penetration rate in India was 61.1% in FY23 and it is expected to reach 80% by FY28. Blended average data usage per customer per month stand at 19.1 Gb in Q2FY24 which in going to be increase to 24/25 GB data per customer per month by FY25. India is amongst the largest telecom market after China with 114 cr of customers using wireless telecom in FY23. The number of wireless telecom customers is expected to reach 122 cr by FY28 with the CAGR growth of 1.5% between FY23 – FY28.

Issue Details	
Date of Opening	3 rd April 2024
Date of Closing	5 th April 2024
Price Band (Rs)	542 - 570
Offer for sale	7,50,00,000 (No of shares)
Issue Size (Rs cr)	4,065 - 4,275
No. of shares	7,50,00,000
Face Value (Rs)	5
Post Issue Market Cap (Rs cr)	27,100 – 28,500
BRLMs	SBI Capital Markets Limited, Axis Capital Limited, BOB Capital Markets Limited, ICICI Securities Limited, IIFL Securities Limited
Registrar	Kfin Technologies Limited
Bid Lot	26 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NIB shares	15%

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	35,00,00,000	70.0
Public & Others	15,00,00,000	30.0
Total	50,00,00,000	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	35,00,00,000	70.0
Public & Others	15,00,00,000	30.0
Total	50,00,00,000	100.0

Source: RHP, SSL Research

Key Financials

	FY21	FY22	FY23	1HFY24
Revenue from operation (Rs cr)	4,602	5,405	6,579	5,221
EBITDA (Rs cr)	1,052	1,814	2,786	2,483
PAT (Rs cr)	(1,034)	1,675	549	282
Adjusted PAT (Rs cr)	(692)	(277)	549	585
EBITDA Margin (%)	22.9	33.6	42.3	47.6
Reported PAT Margin (%)	(22.5)	31.0	8.3	5.4
Adjusted PAT Margin (%)	(15.0)	(5.1)	8.3	11.2
Reported EPS (Rs)	(20.7)	33.5	11.0	5.6*
Adjusted EPS (Rs)	(13.8)	(5.5)	11.0	11.7*
Reported ROE (%)	(52.1)	45.7	13.0	6.4*
Adjusted ROE (%)	(34.9)	(7.6)	13.0	13.2*
ROCE (%)	(1.6)	4.3	13.1	13.2*
Total Debt / Equity (x)	3.0	2.0	1.5	1.4*

* Not Annualized

Source: RHP, SSL Research

Risk Factors

- **Unfavourable development:** The company earns revenue from providing mobile telephone services in Rajasthan and North East part of India. Any unfavourable developments in such regions could adversely affect the operations of the company.
- **Regulatory policy concerning the pricing of telecom services:** Reduction in revenue from telecom services, due to regulatory ceilings on pricing, or owing to pricing pressure, reduction in average revenue per user (ARPU), may have an adverse effect on the business and financial condition of the company.
- **Funds required for CAPEX:** The company requires significant capital to fund capital expenditure and if the company fails to raise additional capital, this will significantly affect the financial and operation performance of the company.
- **Outsourced network infrastructure:** A large part of the passive infrastructure is not owned by the company and rely on third party providers for such infrastructure. Any loss of such third-party infrastructure will affect the operations of the company resulting in the reduction of the revenue.

Growth Strategy

- Growing revenue by focusing on acquiring and retaining quality customers.
- Expanding network coverage.
- Deliver brilliant customer experience through an omnichannel approach and extensive use of data science.
- Improving operational efficiency resulting in cost efficiencies.

Industry Overview

Indian wireless telecom market

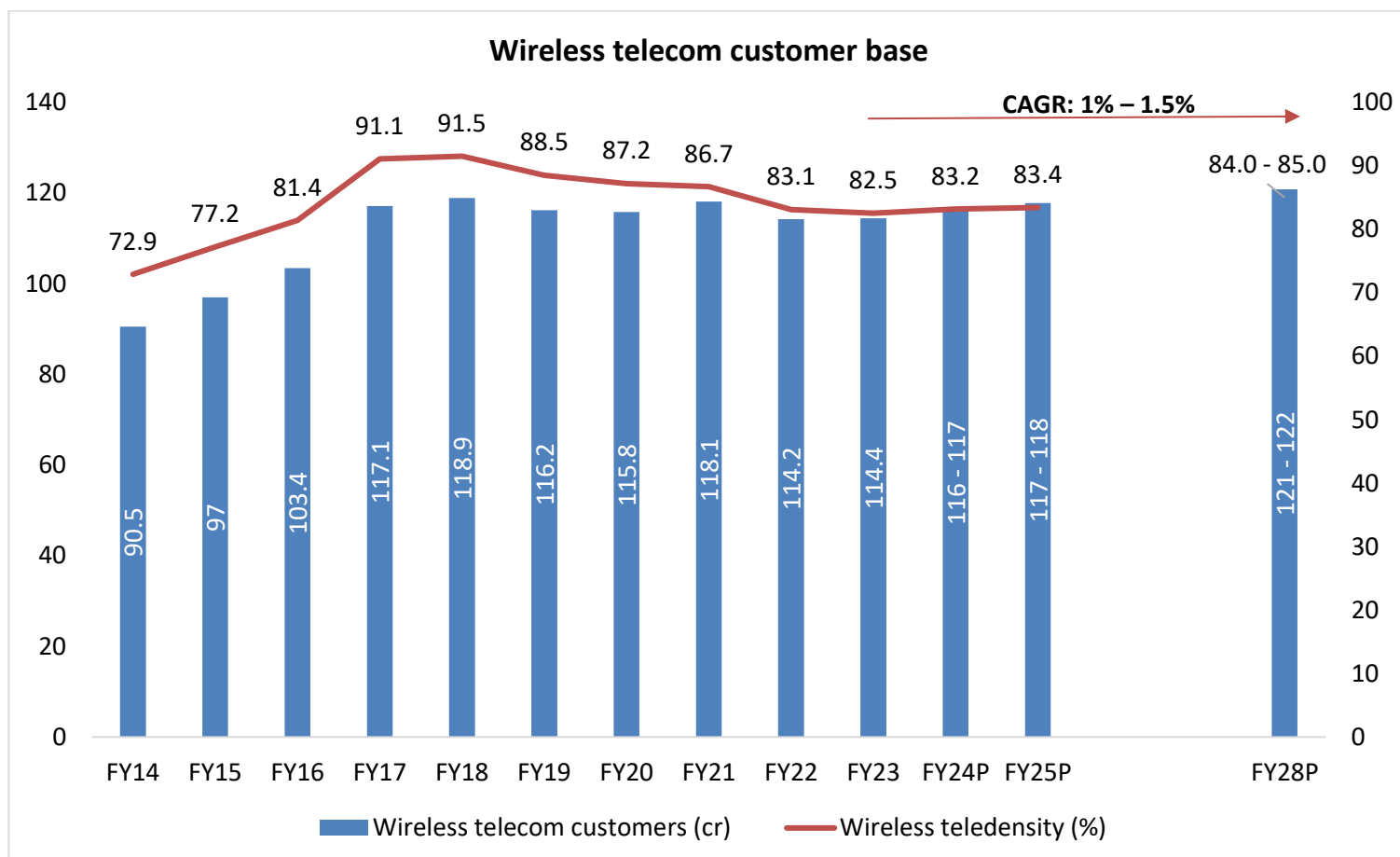
As of 9MFY24, there were five service providers in the Indian telecom market, of which two were public sector units (PSUs)- Bharat Sanchar Nigam Ltd (BSNL) and Mahanagar Telephone Nigam Ltd (MTNL). The top three players - Bharti Airtel, Reliance Jio and Vodafone Idea held approximately 92% customer share in the Indian wireless telecom market, leading to an oligopolistic industry (the share of the two PSUs is meagre), in line with the global trend. China, Germany and the UK have just three telecom players each.

Service Providers	Licensed service areas	Wireless customers in cr (9MFY24)
Reliance Jio Infocom Ltd	All India	46.0
Bharti Airtel Ltd	All India	38.2
Vodafone Idea Ltd	All India	22.3
BSNL (PSU)	All India (except Delhi and Mumbai)	9.2
MTNL (PSU)	Delhi and Mumbai	0.2
Reliance Communications Ltd	All India (except Assam and Northeastern states)	0.0

Source: RHP, SSL Research

India's wireless telecom customer base

CRISIL MI&A projects the number of wireless customers to clock a CAGR of 1-1.5% between FY23 and FY28, driven by higher smartphone penetration, increased affordability of mobile phones and continued demand for data and telecom services. Wireless teledensity, defined as the number of mobile/wireless connections for every hundred individuals living within an area, stood at 82.5% as of FY23 and 83.0% as 9MFY24. Wireless teledensity is expected at 84.0 - 85.0% by FY28, driven by telcos' investments in expanding coverage and the increase in smartphone penetration, particularly in rural areas.



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
(Rs cr)	FY21	FY22	FY23
Revenue from Operations	4,602	5,405	6,579
YoY growth (%)	-	17.4	21.7
Cost Of Revenues (incl Stock Adj)	3,211	3,191	3,203
Gross Profit	1,391	2,214	3,377
Gross margins (%)	30.2	41.0	51.3
Employee Cost	76	76	90
Other Operating Expenses	262	324	501
EBITDA	1,052	1,814	2,786
EBITDA margins (%)	22.9	33.6	42.3
Other Income	102	89	140
Net Interest Exp.	517	572	639
Depreciation	1,285	1,441	1,553
Exceptional Items	(342)	1,951	0
PBT	(989)	1,841	734
Tax	45	167	185
Reported PAT	(1,034)	1,675	549
Adj. PAT	(692)	(277)	549
Adj. PAT margin (%)	(15.0)	(5.1)	8.3
Reported EPS	(20.7)	33.5	11.0
Adj. EPS	(13.8)	(5.5)	11.0

BALANCE SHEET			
(Rs cr)	FY21	FY22	FY23
Assets			
Net Block	3,905	3,840	4,071
Capital WIP	71	64	456
Intangible Assets	4,922	4,761	4,464
Intangible Assets under development	0	0	1,479.70
Right of use assets	1476	1632	2639
Other Non current Assets	2,610	2,354	2,245
Current Assets			
Current Investment	0	49	1,046
Trade receivables	143	2,096	149
Cash and Bank Balances	59	121	89
Other Current Assets	1,817	1,757	1,614
Total Current Assets	2,020	4,022	2,898
Current Liabilities & Provisions			
Trade payables	2,224	1,495	1,441
Other current liabilities	1,537	928	1,670
Short-term provisions	958	1,026	1,103
Total Current Liabilities	4,720	3,449	4,214
Net Current Assets	(2,700)	574	(1,316)
Total Assets	10,284	13,226	14,039
Liabilities			
Share Capital	250	250	250
Reserves and Surplus	1,736	3,411	3,960
Total Shareholders Funds	1,986	3,661	4,210
Total Debt	5,975	7,198	6,269
Long Term Provisions	21	22	23
Lease Liabilities	1,798	1,870	2,934
Other Long Term Liabilities	503	475	603
Total Liabilities	10,284	13,226	14,039

(Rs cr)	FY21	FY22	FY23
Cash flow from Operating Activities	1,517	1,258	5,108
Cash flow from Investing Activities	(883)	(1,383)	(2,031)
Cash flow from Financing Activities	(604)	183	(3,111)
Free Cash Flow	60	(91)	4,164

RATIOS			
	FY21	FY22	FY23
Profitability			
Return on Assets (%)	(4.6)	(1.7)	3.0
Return on Capital (%)	(1.6)	4.3	13.1
Return on Equity (%)	(34.9)	(7.6)	13.0
Margin Analysis			
Gross Margin (%)	30.2	41.0	51.3
EBITDA Margin (%)	22.9	33.6	42.3
Net Income Margin (%)	(15.0)	(5.1)	8.3
Short-Term Liquidity			
Current Ratio (x)	0.3	0.7	0.5
Quick Ratio (x)	0.3	0.7	0.5
Avg. Days Sales Outstanding	11	142	8
Avg. Days Inventory Outstanding	–	–	–
Avg. Days Payables	176	101	80
Fixed asset turnover (x)	1.2	1.4	1.6
Debt-service coverage (x)	0.2	0.2	0.4
Long-Term Solvency			
Total Debt / Equity (x)	3.0	2.0	1.5
Interest Coverage Ratio (x)	(0.3)	0.8	2.1
Valuation Ratios			
EV/EBITDA (x)	32.7	19.6	12.4
P/E (x)	-	-	51.9
P/B (x)	14.4	7.8	6.8
EV/Sales (x)	7.5	6.6	5.3

Source: RHP, SSL Research

Peer Comparison

	Bharti Hexacom Ltd	Bharti Airtel Ltd	Vodafone Idea Ltd
CMP	570	1,225	13
Sales (Rs cr)	6,579	1,39,145	42,177
EBITDA (Rs cr)	2,786	71,274	16,753
PAT (Rs cr)	549	12,287	-29,301
M.Cap (Rs cr)	28,500	7,23,050	64,696
Enterprise Value (Rs cr)	34,681	9,26,133	3,04,723
EBITDA Margin (%)	42.3	51.2	39.7
Net Margin (%)	8.3	8.8	-
EV/Sales (x)	5.3	6.7	7.2
PE (x)	51.9	58.8	-
EV/EBITDA (x)	12.4	13.0	18.2
RoE (%)	13.0	12.0	-
RoCE (%)	13.1	12.3	-

The data is based on FY23 financial data.

For Bharti Hexacom Limited the P/E, Market cap and EV/EBITDA (x) are calculated on post-issue equity share capital based on the upper price band.

CMP as on 27th March 2024.

Source: RHP, SSL Research

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